Type MS · Is it capital or revenue expenditure?

Answer 1 of 17 · Question 12 part whole · 5 marks

2024 JUN · Paper 01 · find part whole in this mark scheme extract

Number		
12	**Award marks as indicated.**	

	Capital Expenditure	Revenue Expenditure
Cost of motor vehicle	✓**(1)**	
Delivery cost	✓**(1)**	
Extended warranty		✓**(1)**
Fuel		✓**(1)**
Insurance		✓**(1)**

(5)

TOTAL FOR QUESTION 12 = 5 MARKS

Type MS · Is it capital or revenue expenditure?

Answer 2 of 17 · Question 18 part c · 4 marks

2019 JUN · Paper 01 (regional R) · extract 1 of 2 · find part c in this mark scheme extract

18(a)(i)	**Award marks as indicated** Expenses which have been incurred **(1)** but unpaid at the financial year end **(1)** **Accept any other appropriate responses**	**(2)**

Question number	Answer	Mark
18(a)(ii)	**Award marks as indicated** Expenses that have been paid **(1)** in advance of the accounting period **(1)** **Accept any other appropriate responses**	**(2)**

Question number	Answer	Mark
18(b)	**Award marks as indicated** $360 **(2) (W)** **W** ($960 / 8 or $120 **(1)** x 3 = $360 **(1)**	**(2)**

Question number	Answer	Mark

Type MS · Is it capital or revenue expenditure?

Answer 2 of 17 · Question 18 part c · 4 marks

2019 JUN · Paper 01 (regional R) · extract 2 of 2 · find part c in this mark scheme extract

18(c) **Award mark as indicated**

Transaction	Revenue Expenditure	Capital Expenditure
Factory roof repairs	✓(1)	
Factory extension		✓(1)
Machinery installation		✓(1)
Machinery maintenance	✓(1)	

(4)

Question number	Answer	Mark
18(d)	**Award up to 2 marks for identification, 2 marks for development and 1 mark for conclusion.** **Sample answers** It is important to distinguish between revenue expenditure and capital expenditure because: The incorrect treatment of revenue expenditure would result in the profit for the year being either overstated or understated **(1)** as revenue expenditure is written off against profit in the year in the year incurred **(1).** The incorrect treatment of capital expenditure would result in the non-current assets being either overstated or understated **(1)** as capital expenditure items last longer than one year and appear in the statement of financial position **(1).** By treating capital expenditure and revenue expenditure incorrectly, this would result in the financial statements not providing a true and fair view of the business **(1).**	**(5)**

TOTAL FOR QUESTION 18 = 15 MARKS

Type MS · Is it capital or revenue expenditure?

Answer 3 of 17 · Question 6 part whole · 1 mark

2019 JUN · Paper 01 · find part whole in this mark scheme extract

6	**B** Installation of air conditioning	**(1)**

Type MS · Is it capital or revenue expenditure?

Answer 4 of 17 · Question 12 part whole · 5 marks

2020 JAN · Paper 01 · find part whole in this mark scheme extract

12	**Award marks as indicated.** **Transaction** / **Capital expenditure** / **Revenue expenditure** Delivery costs of a new motor vehicle — ✓**(1)** Motor vehicle insurance — ✓**(1)** Installation costs of new machinery — ✓**(1)** Legal costs on purchase of business premises — ✓**(1)** Bank interest on loan to purchase business premises — ✓**(1)**	**(5)**

TOTAL FOR QUESTION 12 = 5 MARKS

Type MS · Is it capital or revenue expenditure?

Answer 5 of 17 · Question 12 part whole · 5 marks

2020 NOV · Paper 01 (regional R) · find part whole in this mark scheme extract

12 **Award marks as indicated.**

Item	Capital expenditure	Revenue expenditure
Vehicle cost	✓ **(1)**	
Delivery cost	✓ **(1)**	
Insurance		✓ **(1)**
Additional shelving	✓ **(1)**	
Fuel		✓ **(1)**

(5)

Type MS · Is it capital or revenue expenditure?

Answer 6 of 17 · Question 18 part b · 3 marks

2020 NOV · Paper 01 · extract 1 of 2 · find part b in this mark scheme extract

18 (a)	**Award mark as indicated** Speed **(1)** Accuracy **(1)** **Accept any other appropriate responses.**	**(2)**

Question Number	Answer	Mark
18 (b)	**Award marks as indicated.**	**(3)**

Item	Capital expenditure	Revenue expenditure
Installation cost	✓ **(1)**	
Delivery cost	✓ **(1)**	
Consumables		✓ **(1)**

Type MS · Is it capital or revenue expenditure?

Answer 6 of 17 · Question 18 part b · 3 marks

2020 NOV · Paper 01 · extract 2 of 2 · find part b in this mark scheme extract

Question Number	Answer	Mark
18 (c)	**Award marks for correct date, details and amounts in combination.** **Cash book – bank column**	**(4)**

Date	Details	$	Date	Details	$
Mar 31	Balance b/d	1 210	Mar 31	Insurance	345 **(1)**
	Bank interest	15 **(1)**		Dishonoured cheque, Jones	265 **(1)**
				Balance c/d	615 **(1)**
		1 225			1 225

Question Number	Answer	Mark
18 (d)	**Award marks as indicated.**	**(6)**

Bank reconciliation statement at 31 March 2020

	$	
Balance per cash book **(1)**	615	**(1of)**
Unpresented cheques	656	**(1)**
Outstanding lodgements	(480)	**(1)**
Balance per bank statement **(1)**	791	**(1)**

Alternative presentation

	$	
Balance per bank statement **(1)**	791	**(1)**
Unpresented cheques	(656)	**(1)**
Outstanding lodgements	480	**(1)**
Balance per cash book **(1)**	615	**(1of)**

Type MS · Is it capital or revenue expenditure?

Answer 7 of 17 · Question 18 part a · 3 marks

2021 NOV · Paper 01 · extract 1 of 2 · find part a in this mark scheme extract

18(a)	**Award marks as indicated** |	Revenue expenditure	Capital expenditure | |---|---|---| | Machine delivery | | ✓ **(1)** | | Machine installation | | ✓ **(1)** | | Machine operatives' wages | ✓ **(1)** | |	**(3)**

Question number	Answer	Mark
18(b)	**Award up to 4 marks for explanation and 1 mark for conclusion.** **Sample answer** Revenue expenditure is day to day expenses **(1)** and is written off against profit in the year incurred **(1)**. Capital expenditure is expenditure on non-current assets **(1)** and appears in the statement of financial position **(1)**. It is important to distinguish between capital expenditure and revenue expenditure as failure to do so would result in incorrect profits being declared **(1)** **Accept any other appropriate responses.**	**(5)**

number	Answer	Mark
18(c)	**Award mark as indicated.** $4 200 **(1)**	**(1)**

Question number	Answer	Mark
18(d)	**Award marks as indicated.** $5400 **(2) W** **W** $23 400 **(1)** - $18 000 = $5 400 **(1of)**	**(2)**

Type MS · Is it capital or revenue expenditure?

Answer 7 of 17 · Question 18 part a · 3 marks

2021 NOV · Paper 01 · extract 2 of 2 · find part a in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>18(e)</td><td>Award marks for correct date, details and amounts in combination.

Machinery – Provision for Depreciation Account
<table>
<tr><th>Date</th><th>Details</th><th>$</th><th>Date</th><th>Details</th><th>$</th></tr>
<tr><td>2020
Jan 1</td><td>Disposal
account</td><td>2 600
(1)</td><td>2019
Apr 1</td><td>Balance b/d</td><td>4 200
(1of)</td></tr>
<tr><td>Mar 31</td><td>Balance c/d</td><td>3 040</td><td>2020
Mar 31</td><td>Income
statement</td><td>1 440
(1)</td></tr>
<tr><td></td><td></td><td>5 640</td><td></td><td></td><td>5 640</td></tr>
<tr><td></td><td></td><td></td><td>Apr 1</td><td>Balance b/d</td><td>3 040
(1of)</td></tr>
</table></td><td>(4)</td></tr>
</table>

TOTAL FOR QUESTION 18 = 15 MARKS

Type MS · Is it capital or revenue expenditure?

Answer 8 of 17 · Question 17 part b · 3 marks

2022 JUN · Paper 01 (regional R) · extract 1 of 3 · find part b in this mark scheme extract

17(a)	**Award marks as indicated.** Capital expenditure is expected to benefit the business for more than one accounting period **(1)** whereas revenue expenditure is expected to benefit the current financial period only **(1).** Capital expenditure is charged to the statement of financial position **(1)** whereas revenue expenditure is charged to the income statement **(1)** Capital expenditure is expenditure on acquiring or improving non-current assets **(1)** whereas revenue expenditure is payment of day-to-day expenses **(1).** **Accept any other appropriate responses.**	**(2)**

Type MS · Is it capital or revenue expenditure?

Answer 8 of 17 · Question 17 part b · 3 marks

2022 JUN · Paper 01 (regional R) · extract 2 of 3 · find part b in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>17(b)</td><td>Award marks as indicated.
<table>
<tr><th></th><th>Capital expenditure</th><th>Revenue expenditure</th></tr>
<tr><td>Install shelving in van</td><td>✓ (1)</td><td></td></tr>
<tr><td>Motor insurance</td><td></td><td>✓ (1)</td></tr>
<tr><td>Signwriting on van</td><td>✓ (1)</td><td></td></tr>
</table></td><td>(3)</td></tr>
</table>

Type MS · Is it capital or revenue expenditure?

Answer 8 of 17 · Question 17 part b · 3 marks

2022 JUN · Paper 01 (regional R) · extract 3 of 3 · find part b in this mark scheme extract

Question number	Answer	Mark
17(c)	**Award 1 mark for each correct figure as indicated plus 1 mark for all correct dates and details.**	(10)

Motor Vans - Cost Account

Date	Details	$	Date	Details	$
2021 Feb 1	Balance b/d	146 000 **(1)**	2021 Aug 1	Asset disposal	36 000 **(1)**
Sep 1	Cash book/bank	49 000 **(1)**	2022 Jan 31	Balance c/d	159 000
		195 000			195 000
2022 Feb 1	Balance b/d	159 000 **(1of)**			

Asset Disposal Account

Date	Details	$	Date	Details	$
2021 Aug 1	Motor vans cost	36 000 **(1)**	2021 Aug 1	Motor vans prov for depreciation	12 960 **(2/1of)**
2022 Jan 31	Income statement	1 960 **(1of)**		Cash book/bank	25 000 **(1)**
		37 960			37 960

TOTAL FOR QUESTION 17 = 15 MARKS

Type MS · Is it capital or revenue expenditure?

Answer 9 of 17 · Question 17 part c · 2 marks

2022 JUN · Paper 01 · extract 1 of 3 · find part c in this mark scheme extract

17(a)	**Award marks as indicated** Wear and tear **(1)** Obsolescence **(1)** Usage **(1)** Technological change **(1)** Depletion **(1)** Time factor**(1)** Economic factors **(1)** **Max 2 marks**	**(2)**

Question number	Answer	Mark
17(b)	**Award marks as indicated** Capital expenditure is charged to the statement of financial position **(1)** whereas revenue expenditure is charged to the income statement **(1)** Capital expenditure is expenditure on acquiring or improving non-current assets **(1)** whereas revenue expenditure is payment of day-to-day expenses **(1).** **Accept any other appropriate response**	**(2)**

Type MS · Is it capital or revenue expenditure?

Answer 9 of 17 · Question 17 part c · 2 marks

2022 JUN · Paper 01 · extract 2 of 3 · find part c in this mark scheme extract

Question number	Answer	Mark
17(c)	**Award marks as indicated.** **Capital expenditure** / **Revenue expenditure** Delivery cost: ✓ **(1)** / Motor insurance: / ✓ **(1)**	**(2)**

Question number	Answer	Mark
17(d)	**Award 1 mark as indicated.** $15 360 **(1)**	**(1)**

Question number	Answer	Mark
17(e)	**Award marks for correct dates, details and amounts as indicated.** **Provision for Depreciation – Motor Vehicles Account**	**(4)**

Date	Details	$	Date	Details	$
2020 June 30	Disposal	14 640 **(1of)**	2021 Apr 1	Balance b/d	18 240 **(1)**
Mar 31	Balance c/d	10 480	Mar 31	Income statement	6 880 **(1)**
		25 120			25 120
			Apr 1	Balance b/d	10 480 **(1of)**

Type MS · Is it capital or revenue expenditure?

Answer 9 of 17 · Question 17 part c · 2 marks

2022 JUN · Paper 01 · extract 3 of 3 · find part c in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>17(f)</td><td>Award marks for correct dates, details and amounts as indicated.

Asset Disposal Account
<table>
<tr><th>Date</th><th>Details</th><th>$</th><th>Date</th><th>Details</th><th>$</th></tr>
<tr><td>2021
Jun 30</td><td>Motor vehicle – cost</td><td>30 000
(1)</td><td>2021
Jun 30</td><td>Motor vehicle – provision for depreciation</td><td>14 640
(1of)</td></tr>
<tr><td>2022
Mar 31</td><td>Income statement</td><td>1 040
(1of)</td><td>Jun 30</td><td>Cash book / bank</td><td>16 400
(1)</td></tr>
<tr><td></td><td></td><td>31 040</td><td></td><td></td><td>31 040</td></tr>
</table></td><td>(4)</td></tr>
</table>

Total for Question 17 = 15 marks

Type MS · Is it capital or revenue expenditure?

Answer 10 of 17 · Question 18 part a · 4 marks

2023 JUN · Paper 01 (regional R) · extract 1 of 2 · find part a in this mark scheme extract

Number		
18(a)	**Award marks as indicated.** |	**Capital expenditure**	**Revenue expenditure** | |---|---|---| | Purchase of inventory | | ✓ **(1)** | | Purchase of machinery | ✓ **(1)** | | | Installation of machinery | ✓ **(1)** | | | Machine operator wages | | ✓ **(1)** |	**(4)**

Question Number	Answer	Mark
18(b)(i)	**Award mark as indicated.** Statement of financial position **(1)**	**(1)**

Question Number	Answer	Mark
18(b)(ii)	**Award mark as indicated.** Income statement **(1)**	**(1)**

Question Number	Answer	Mark
18(c)	**Award marks as indicated.** |	**Depreciation charge for the year ended 30 April 2021 $**	**Depreciation charge for the year ended 30 April 2022 $** | |---|---|---| | Machine A | 8 400 **(1)** | 5 880 **(1)** | | Machine B | 10 800 **(1)** | 7 560 **(1)** |	**(4)**

Type MS · Is it capital or revenue expenditure?

Answer 10 of 17 · Question 18 part a · 4 marks

2023 JUN · Paper 01 (regional R) · extract 2 of 2 · find part a in this mark scheme extract

Question Number	Answer	Mark
18(d)	**Award mark as indicated.** $3 780 **(1)**	**(1)**

Question Number	Answer	Mark
18(e)	**Award marks for correct dates, details and amounts in combination.**	**(4)**

Provision for Depreciation - Machinery Account

Date	Details	$	Date	Details	$
1 March 2023	Disposal	14 280 **(1)**	1 May 2022	Balance b/d	32 640 **(1of)**
30 April	Balance c/d	23 652	30 April 2023	Income statement / Depreciation charge	5 292 **(1)**
		37 932			37 932
			1 May	Balance b/d	23 652 **(1of)**

TOTAL FOR QUESTION 18 = 15 MARKS

Type MS · Is it capital or revenue expenditure?

Answer 11 of 17 · Question 5 part whole · 1 mark

2023 JUN · Paper 01 · find part whole in this mark scheme extract

5	C Expenditure on the purchase of non-current assets	(1)

Type MS · Is it capital or revenue expenditure?

Answer 12 of 17 · Question 12 part whole · 5 marks

2025 JUN · Paper 01 (regional R) · find part whole in this mark scheme extract

Number		
12	**Award marks as indicated.** |	Capital Expenditure	Revenue Expenditure | |---|---|---| | Purchase of new machinery | ✓**(1)** | | | Machinery repairs | | ✓**(1)** | | Legal fees paid for factory extension | ✓**(1)** | | | Painting sign on new vehicle | ✓**(1)** | | | Repainting sign on vehicle | | ✓**(1)** |	**(5)**

TOTAL FOR QUESTION 12 = 5 MARKS

Type MS · Is it capital or revenue expenditure?

Answer 13 of 17 · Question 18 part a · 4 marks

2025 JUN · Paper 01 · extract 1 of 3 · find part a in this mark scheme extract

18(a) **Award marks as indicated.**

Transaction	Capital Expenditure	Revenue Expenditure
Legal costs on purchase of business premises	✓**(1)**	
Bank loan interest on purchase of business premises	✓**(1)**	
Delivery cost of new machinery	✓**(1)**	
Insurance of new machinery		✓**(1)**

(4)

Question Number	Answer	Mark
18(b)	**Award mark as indicated.** $18 400 **(1).**	**(1)**

Type MS · Is it capital or revenue expenditure?

Answer 13 of 17 · Question 18 part a · 4 marks

2025 JUN · Paper 01 · extract 2 of 3 · find part a in this mark scheme extract

Question Number	Answer	Mark
18(c)	**Award marks for details and amounts in combination.**	**(5)**

Machinery – Provision for Depreciation Account

Date	Details	$	Date	Details	$
2024 Jun 30	Disposal	4 000 **(1)**	2024 Jan 1	Balance b/d	6 400 **(1)**
2024 Dec 31	Balance c/d	5 840	2024 Dec 31	Income statement	3 440 **(1)**
		9 840			9 840
			2025 Jan 1	Balance b/d	5 840 **(1of)**

Disposal Account

Date	Details	$	Date	Details	$
2024 Jun 30	Machinery Cost	8 000	2024 Jun 30	Machinery Provision for Depreciation	4 000
Dec 31	Income statement	600 **(1of)**		Bank	4 600
		8 600			8 600

Type MS · Is it capital or revenue expenditure?

Answer 13 of 17 · Question 18 part a · 4 marks

2025 JUN · Paper 01 · extract 3 of 3 · find part a in this mark scheme extract

Question Number	Answer	Mark
18(d)	**Award up to 2 marks for comments on each method. Award 1 mark for advice.** **Sample answer** Continuing to use the reducing balance method will reduce the charge for depreciation after the first year **(1)** which will result in a higher profit for the following years **(1).** Changing to use the straight-line method will result in the same depreciation charge each year of ownership **(1)** resulting in lower profits and therefore a lower net asset value of the business **(1).** I will advise Shauna not to change the method **(1).** **Accept any other appropriate responses.**	**(5)**

TOTAL FOR QUESTION 18 = 15 MARKS

Type MS · Is it capital or revenue expenditure?

Answer 14 of 17 · Question 18 part a.i · 5 marks

2024 NOV · Paper 01 · extract 1 of 2 · find part a.i in this mark scheme extract

18 (a)(i)	**Award marks as indicated** $71 000 **(5) W** **W** 20 000 **(1)** 34 000 **(1)** 5 000 **(1)** 12 000 **(1)** 71 000 **(1)**	**(5)**

Question Number	Answer	Mark
(ii)	**Award marks as indicated** 19 500 **(3) W** **W** 4 500 **(1)** 15 000 **(1)** 19 500 **(1)**	**(3)**

Question Number	Answer	Mark
(iii)	**Award 1 mark for identification and one mark for development.** The cost will be treated as capital expenditure **(1)** as the improvement will generate profits over several years. **(1)** **Accept any other appropriate responses.**	**(2)**

Type MS · Is it capital or revenue expenditure?

Answer 14 of 17 · Question 18 part a.i · 5 marks

2024 NOV · Paper 01 · extract 2 of 2 · find part a.i in this mark scheme extract

Question Number	Answer	Mark
(b)	**Award one mark for identification and one mark for development of two reasons why it is important up to a maximum of four marks and one mark for a conclusion.** **Sample answer** As the business benefits from using items classified as capital expenditure over several years it needs to match the benefit **(1)** of owning the asset with the cost of using the asset through the calculation of depreciation **(1)** Items of revenue expenditure are generally those expenses which occur on a day-to-day basis **(1)** and will need to be matched against the revenue of that period in compliance with the matching concept **(1)** If a business does not distinguish between capital expenditure and revenue expenditure, they will not be presenting a true and fair view of their business's situation **(1)** **Accept any other appropriate responses.**	**(5)**

TOTAL FOR QUESTION 18 = 15 MARKS

Type MS · Is it capital or revenue expenditure?

Answer 15 of 17 · Question 18 part a.ii · 3 marks

2024 NOV · Paper 01 · extract 1 of 2 · find part a.ii in this mark scheme extract

18 (a)(i)	**Award marks as indicated** $71 000 **(5) W** **W** 20 000 **(1)** 34 000 **(1)** 5 000 **(1)** 12 000 **(1)** 71 000 **(1)**	**(5)**

Question Number	Answer	Mark
(ii)	**Award marks as indicated** 19 500 **(3) W** **W** 4 500 **(1)** 15 000 **(1)** 19 500 **(1)**	**(3)**

Question Number	Answer	Mark
(iii)	**Award 1 mark for identification and one mark for development.** The cost will be treated as capital expenditure **(1)** as the improvement will generate profits over several years. **(1)** **Accept any other appropriate responses.**	**(2)**

Type MS · Is it capital or revenue expenditure?

Answer 15 of 17 · Question 18 part a.ii · 3 marks

2024 NOV · Paper 01 · extract 2 of 2 · find part a.ii in this mark scheme extract

Question Number	Answer	Mark
(b)	**Award one mark for identification and one mark for development of two reasons why it is important up to a maximum of four marks and one mark for a conclusion.** **Sample answer** As the business benefits from using items classified as capital expenditure over several years it needs to match the benefit **(1)** of owning the asset with the cost of using the asset through the calculation of depreciation **(1)** Items of revenue expenditure are generally those expenses which occur on a day-to-day basis **(1)** and will need to be matched against the revenue of that period in compliance with the matching concept **(1)** If a business does not distinguish between capital expenditure and revenue expenditure, they will not be presenting a true and fair view of their business's situation **(1)** **Accept any other appropriate responses.**	**(5)**

TOTAL FOR QUESTION 18 = 15 MARKS

Type MS · Is it capital or revenue expenditure?

Answer 16 of 17 · Question 17 part b.i · 1 mark

2025 NOV · Paper 01 · extract 1 of 2 · find part b.i in this mark scheme extract

17(a)(i)	**Award 1 mark for identification and 1 mark for linked development.** The purchase or improvement of a **non-current asset (1)** with the benefit expected to last **more than one year** / appears on the **statement of financial position (1).**	**(2)**

Question Number	Answer	Mark
17(a)(ii)	**Award 1 mark for identification and 1 mark for linked development.** The **day-to-day running costs** of the business **(1)** with the benefit expected to last **less than one year** / appears on the **income statement (1).**	**(2)**

Question Number	Answer	Mark
17(b)(i)	**Award mark as indicated.** $46 400 **(1)**	**(1)**

Question Number	Answer	Mark
17(b)(ii)	**Award mark as indicated.** $2 300 **(1)**	**(1)**

Question Number	Answer	Mark
17(b)(iii)	**Award mark as indicated.** Overstated: Understated: No effect: ✓ **(1)**	**(1)**

Type MS · Is it capital or revenue expenditure?

Answer 16 of 17 · Question 17 part b.i · 1 mark

2025 NOV · Paper 01 · extract 2 of 2 · find part b.i in this mark scheme extract

Question Number	Answer	Mark
17(c)(i)	**Award mark as indicated.** $23 360 **(1)**	**(1)**

Question Number	Answer	Mark
17(c)(ii)	**Award marks for correct details and amounts in combination.**	**(7)**

Disposal Account

Date	Details	$	Date	Details	$
2024 Aug 1	Machinery cost	36 500 (1)	2024 Aug 1	Machinery provision for depreciation	13 140 (2/1of)
2025 Jun 30	Income statement	1 240 (2/1of)		Cash book /Bank	8 200 (1)
				(Gerhardt) loan	16 400 (1)
		37 740			37 740

TOTAL FOR QUESTION 17 = 15 MARKS

Type MS · Is it capital or revenue expenditure?

Answer 17 of 17 · Question 17 part b.ii · 1 mark

2025 NOV · Paper 01 · extract 1 of 2 · find part b.ii in this mark scheme extract

17(a)(i)	**Award 1 mark for identification and 1 mark for linked development.** The purchase or improvement of a **non-current asset (1)** with the benefit expected to last **more than one year** / appears on the **statement of financial position (1).**	**(2)**

Question Number	Answer	Mark
17(a)(ii)	**Award 1 mark for identification and 1 mark for linked development.** The **day-to-day running costs** of the business **(1)** with the benefit expected to last **less than one year** / appears on the **income statement (1).**	**(2)**

Question Number	Answer	Mark
17(b)(i)	**Award mark as indicated.** $46 400 **(1)**	**(1)**

Question Number	Answer	Mark
17(b)(ii)	**Award mark as indicated.** $2 300 **(1)**	**(1)**

Question Number	Answer	Mark
17(b)(iii)	**Award mark as indicated.** Overstated: Understated: No effect: ✓ **(1)**	**(1)**

Type MS · Is it capital or revenue expenditure?

Answer 17 of 17 · Question 17 part b.ii · 1 mark

2025 NOV · Paper 01 · extract 2 of 2 · find part b.ii in this mark scheme extract

Question Number	Answer	Mark
17(c)(i)	**Award mark as indicated.** $23 360 **(1)**	**(1)**

Question Number	Answer	Mark
17(c)(ii)	**Award marks for correct details and amounts in combination.**	**(7)**

Disposal Account

Date	Details	$	Date	Details	$
2024 Aug 1	Machinery cost	36 500 (1)	2024 Aug 1	Machinery provision for depreciation	13 140 (2/1of)
2025 Jun 30	Income statement	1 240 (2/1of)		Cash book /Bank	8 200 (1)
				(Gerhardt) loan	16 400 (1)
		37 740			37 740

TOTAL FOR QUESTION 17 = 15 MARKS